

Interview Feedback

Brew & Bean Profitability · 2026-10-07 · Overall: adequate

Top improvement

Make the recommendation follow from your own diagnosis, and size it out loud. You found a market-wide input move with prices frozen for two years, yet led with supplier renegotiation, which has limited room in a market-wide move. Derive what a price increase actually recovers: with costs flat, $(6+100p)/(100+100p)=0.24$ gives pH24%, and a 5% rise only reaches about 10.5% margin. Then state how many points each lever closes, so the CEO can see the plan gets back toward 24%.

Rubric Scores

Problem Structuring

adequate

What needs work

The objective (find the root cause and recommend a reversal) was never restated, and the structure was not tied to the decision the CEO must make.

“I'd break profit into revenue and costs.”

The candidate justified prioritizing costs with arithmetic, but prioritization inside COGS rested on an unsupported hunch about waste rather than the price-vs-input-cost logic the structure implied, which the candidate later admitted.

“One thing I'd want to dig into early on the COGS side is waste and spoilage.”

“Honestly, that ordering was a hunch rather than something the data supported”

“That gap has to be costs growing faster than revenue.”

“I'd prioritize the cost branch first.”

The candidate opened with a clear profit = revenue - costs split, sensible sub-drivers, and an early cost hypothesis, but the two generic top-level buckets did not explicitly cover price-vs-cost pass-through or competitive context, the most tailored angles for this case.

“On costs I'd split into COGS — coffee beans, milk, food, cups — and operating costs like labor, rent, utilities, and corporate overhead.”

“So revenue is up 15% but margin collapsed from 24% to 6% — that's a huge drop, so this is almost certainly a cost-side story rather than a demand story.”

“On revenue I'd want to know whether the 15% growth came from new stores, more transactions per store, or higher prices.”

Missed opportunities

Turn 1 opening, after hearing that revenue grew 15% while margin fell 18 points.

A great answer: “Our goal is to find why margin fell from 24% to 6% despite 15% revenue growth, and what will restore it. I'd look at three areas. First, price and volume: has the menu price kept pace? Second, unit input costs by category: beans, dairy, packaging, food. Third, operating costs: labor, rent, overhead. I'd also ask whether peers are seeing the same squeeze. My hypothesis is that input costs rose and weren't passed through, so I'd start by sizing which cost line moved as a percent of revenue.”

Quantitative & Analytical Rigor

adequate

What went well

The candidate decomposed the 16-point COGS rise correctly into beans and other inputs, converting share-of-COGS into points of revenue properly.

“Beans were 25% of a 42% COGS line, so about 10.5 points of revenue.”

“The other 31.5 points rose 37.5%, adding ~11.8 points.”

The candidate sanity-checked the input-inflation explanation against the observed COGS figure and stated the implication.

“Rough check: if COGS was 42% of revenue and inputs rose ~40% with price flat, $42\% \times 1.4 = 59\%$.”

“That lands almost exactly on the observed 58%.”

The candidate correctly reasoned that volume growth is neutral to COGS as a percent of revenue, which defended the cross-check under challenge.

“But volume scales COGS and revenue together, so as a percent of revenue it's roughly neutral.”

What needs work

The required price increase was asserted, not derived. With costs flat in dollars, restoring a 24% margin needs $(6+100p)/(100+100p)=0.24$, so $p \geq 24\%$. The '20%+' is directionally right but no setup was shown.

"To recover 16 points with COGS at 58%, they'd need roughly a 20%+ menu price increase, and we have no sensitivity data to say volume survives that."

The recommended 'mid single digits' price increase was never sized. A 5% increase lifts margin only to about 11/105 H 10.5%, so the plan's margin gap was left unquantified.

"Same window, take a modest staged price increase — mid single digits — plus attach-rate and upsize pushes, which lift ticket without testing price tolerance all at once."

Missed opportunities

Turn 11, when the candidate dismissed price as the lead lever by citing a '20%+' figure.

A great answer: "Let me set it up. Profit today is 6 on 100 of revenue. If price rises by p and dollar costs stay flat, margin is $(6 + 100p) / (100 + 100p)$. Setting that to 24% gives $p \geq 24\%$. A 10% increase gets us to about 16 / 110 H 14.5%, which is roughly half the gap. So price closes a big chunk, and procurement has to close the rest."

Data & Exhibit Interpretation

strong

What went well

The candidate isolated COGS as the driver, accounting for 16 of the 18 points, with labor flat and overhead adding the remaining 2.

"Doing that now: COGS went from 42% to 58% of revenue, so 16 points of the 18-point margin decline sits there."

"Overhead explains 2, labor zero."

The candidate read the exhibit trend systematically and drew the right implication of a continuous, unpassed-through commodity squeeze, though without first orienting on what the exhibit measures, its units, and its time periods, a habit that matters more on denser charts.

"The exhibit confirms it's steady, not a one-time shock — 42, 50, 58, about eight points a year, straight-line."

"So this is a continuous commodity squeeze that management simply never passed through."

The candidate asked what was inside COGS and tested whether beans could explain the full move, finding they explain only about a quarter.

"One thing I'd want before leaning on price as the answer: a split of that COGS line between beans and everything else, and whether they're buying spot or on contract."

"But the split matters: beans are only about a quarter of the damage."

Missed opportunities

Turn 9, when first handed the cost-structure exhibit.

A great answer: "This shows each cost line as a percent of revenue over three years. The standout is COGS climbing eight points a year, 42 to 50 to 58. Labor is flat at 22 and overhead drifts two points. So nearly the entire margin loss is COGS, and next I need to know what's inside it."

Business Judgment & Insight

adequate

The candidate asked for customer price sensitivity and competitor pricing, and the interviewer did not provide them, so caution about the size of a price increase is not faulted here. Only the internal inconsistency of the recommendation is.

What went well

The candidate surfaced the main risk proactively, with a practical mitigation and concrete early-warning metrics.

"Main risk is volume response to price, so I'd test increases in a subset of markets before rolling out nationally."

"What I'd watch early: transaction counts weekly in the test markets, not revenue, since revenue can look fine for a quarter while visits erode."

What needs work

The candidate correctly recognized the input moves as market-wide and dropped the waste hypothesis with sound logic, but then led with supplier renegotiation, which has limited room in exactly that situation, and deprioritized pricing despite two years of flat prices.

"My recommendation: Brew & Bean's margin decline is almost entirely input cost inflation that was never passed through, and the fix has to be led by supplier economics, not by a single price increase."

"Instead both input categories moved almost identically, ~40% and ~37.5%, which is a market-wide commodity move, not an operational leak inside their stores."

The plan never states how much margin each lever is expected to recover. A mid-single-digit price rise plus renegotiation is not shown to close an 18-point gap.

"Same window, take a modest staged price increase — mid single digits — plus attach-rate and upsize pushes, which lift ticket without testing price tolerance all at once."

Missed opportunities

Turn 15 recommendation, after establishing that inputs rose ~38% while menu prices were frozen for two years.

A great answer: "The root cause is a pricing failure as much as a cost shock. Inputs rose roughly 38% across the board and prices haven't moved in two years. If this is market-wide, competitors face it too, so a targeted price increase is the primary lever, starting with less price-sensitive specialty drinks. Procurement is the second lever. It's worth pursuing, but it can't reverse a market-wide commodity move on its own."

Creativity & Brainstorming

strong

What went well

The candidate organized the second brainstorm into clear buckets (revenue per transaction, daypart, channel mix, store operations), but the first brainstorm was a flat run-on list preceded by a sizing detour before the question was answered.

"On the revenue side, since volume is growing but each unit earns less, I'd look at raising revenue per transaction rather than per cup"

"On store operations: labor is flat at 22%, which is fine, but with 15% more volume they should be getting productivity"

"Let me size the beans first."

The candidate produced several non-obvious ideas, including daypart expansion, retail/wholesale channels, and portion/cup-spec reformulation.

"Daypart is another one — most coffee chains are jammed 7 to 10am and dead after 2pm."

"Channel mix: retail bags of beans, subscriptions, office catering, wholesale."

The candidate prioritized levers by impact and then sequenced them by time horizon.

"Other levers: renegotiate or consolidate suppliers on dairy and packaging, since that's the bigger bucket; forward-contract or hedge beans instead of riding spot; reformulate portion sizes and cup specs; shift mix toward higher-margin items; smaller, more frequent price moves rather than one jump; and attack the 2-point overhead drift."

"Then 6 to 12 months: daypart expansion, retail and wholesale channels, and a review of underperforming stores."

Missed opportunities

Turn 11, when asked 'Beyond a price increase, what else could Brew & Bean do?'

A great answer: "I'll split this into three buckets: input cost per unit, recipe and mix, and operating cost. On input cost: consolidate dairy and packaging suppliers, and forward-contract beans. On recipe and mix: cup and portion specs, and steering customers toward lower-input items. On operating cost: the two-point overhead drift. Dairy and packaging come first because they're three-quarters of the damage."

Synthesis & Recommendation

strong

What went well

The candidate led with a committed, answer-first recommendation and backed it with evidence from the analysis.

"My recommendation: Brew & Bean's margin decline is almost entirely input cost inflation that was never passed through, and the fix has to be led by supplier economics, not by a single price increase."

"Beans are only about a quarter of the damage — roughly 4 points of the 16 — so the non-bean basket is where the money is."

The candidate gave clear sequenced next steps and named the key risk with a mitigation, concisely.

"First 90 days: renegotiate and consolidate dairy and packaging contracts, and lock bean supply forward rather than riding spot."

"Main risk is volume response to price, so I'd test increases in a subset of markets before rolling out nationally."

What needs work

The synthesis did not state the expected margin recovery from the plan, so the CEO cannot tell whether it gets back toward 24%.

"Same window, take a modest staged price increase — mid single digits — plus attach-rate and upsize pushes, which lift ticket without testing price tolerance all at once."

Missed opportunities

Turn 15, closing the recommendation to the CEO.

A great answer: "Combined, I expect the price action and procurement to recover roughly X and Y points respectively, bringing margin back to the mid-teens within a year. Mix and channel moves would close the rest."

Communication & Delivery

adequate

What went well

The candidate built explicitly on the interviewer's cues and clearly signposted updates.

"But volume scales COGS and revenue together, so as a percent of revenue it's roughly neutral."

What needs work

The candidate often used hypothesis-driven phrasing and narrated structure before detail, but answers were not consistently top-down; the brainstorm answer was buried behind sizing and a self-correction before the question was addressed.

"Let me size the beans first."

"And I should correct myself again"

"So revenue is up 15% but margin collapsed from 24% to 6% — that's a huge drop, so this is almost certainly a cost-side story rather than a demand story."

"COGS is units sold times cost per unit, so it can rise as a percent of revenue three ways: input cost per unit up, price per unit down, or mix shifting toward lower-margin items."

The opening drifted off-structure into a waste/spoilage aside that the framework didn't call for.

"One thing I'd want to dig into early on the COGS side is waste and spoilage."

Missed opportunities

Turn 11, when the interviewer asked for options beyond price.

A great answer: "I see three groups of options: supplier costs, recipe and mix, and overhead. Quick sizing to anchor them: beans are about 4 of the 16 points, so supplier work should start with dairy and packaging."

Pushback, Composure & Case Leadership

strong

What went well

When challenged on the volume assumption, the candidate held the position with explicit reasoning rather than capitulating.

"But volume scales COGS and revenue together, so as a percent of revenue it's roughly neutral."

"That's actually why my cross-check still holds: the 42% '58% move is per-unit input inflation, not volume."

When challenged on the waste ordering, the candidate updated with reasoning and immediately did the sizing, but repeated unprompted reversals (waste, then price) slightly weakened the impression of a stable point of view; present updates as refinements rather than retractions.

"Honestly, that ordering was a hunch rather than something the data supported"

"Doing that now: COGS went from 42% to 58% of revenue, so 16 points of the 18-point margin decline sits there."

"And I should correct myself again"

The candidate drove the case proactively: asked for targeted data, and answered the failure-scenario stress test with a concrete fallback and monitoring plan.

"If both of those fail, the margin can't be rebuilt at the current cost base, and I'd shift from recovering points to restructuring."

"if dairy hasn't moved by then, it isn't going to."

Missed opportunities

Turn 11, when the candidate reversed course on price without interviewer pushback.

A great answer: "Price remains a core lever, since prices haven't moved in two years. The new data refines how I'd use it: beans are only a quarter of the problem, so price needs to be paired with dairy and packaging procurement rather than carry the fix alone."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 0:05

Let me take a second to structure this.

So revenue is up 15% but margin collapsed from 24% to 6% — that's a huge drop, so this is almost certainly a cost-side story rather than a demand story. I'd break profit into revenue and costs. On revenue I'd want to know whether the 15% growth came from new stores, more transactions per store, or higher prices. On costs I'd split into COGS — coffee beans, milk, food, cups — and operating costs like labor, rent, utilities, and corporate overhead.

One thing I'd want to dig into early on the COGS side is waste and spoilage. Specialty coffee chains carry a lot of perishables — milk, pastries, prepared food — and if they've expanded the food menu or opened stores that aren't hitting volume, spoilage can quietly eat margin without showing up in unit prices.

Do we have a cost breakdown as a percent of revenue for both years?

Interviewer · 0:08

I'll come back to the cost breakdown as a percent of revenue for both years shortly. Before we get to data: you've laid out revenue and cost branches. Is that structure MECE, and which branch would you prioritize first, and why?

Candidate · 0:13

I think it's MECE at the top level — profit is revenue minus costs, and nothing falls outside that. Within costs I'd want to be cleaner: COGS as variable cost of goods sold per unit, then operating costs split into store-level fixed costs like rent and utilities, store-level semi-variable like labor, and then corporate overhead. That way every dollar has one home.

I'd prioritize the cost branch first. The reason is the arithmetic: revenue grew 15%, so if costs had held as a percent of revenue, margin should have been flat or slightly better from scale. Instead margin fell 18 points. That gap has to be costs growing faster than revenue.

Within costs, I'd start with COGS, and specifically whether there's a gap between what they buy and what they sell — waste, spoilage, shrink — before assuming input prices moved.

Interviewer · 0:16

Understood. On what you asked about earlier: COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. You said you'd start with COGS and look at waste before input prices. What led you to that ordering, before you've seen where the cost increase actually sits?

Candidate · 0:21

Honestly, that ordering was a hunch rather than something the data supported — I jumped to waste because it's a common story in food service and it's invisible on the P&L. That wasn't rigorous of me; I should have sized the gap first.

Doing that now: COGS went from 42% to 58% of revenue, so 16 points of the 18-point margin decline sits there. Overhead explains 2, labor zero. So COGS is essentially the whole story and I should decompose it rather than guess at a cause.

COGS is units sold times cost per unit, so it can rise as a percent of revenue three ways: input cost per unit up, price per unit down, or mix shifting toward lower-margin items. Waste would show up as inputs purchased exceeding inputs sold.

Do we have cost per unit of the major inputs — beans, milk, food — for both years, and have menu prices changed?

Interviewer · 0:23

Right, the gap sits mostly in COGS. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Menu prices have not changed in two years. Of the three ways you laid out for COGS to rise, what does this tell you, and what would you want to check next?

Candidate · 0:33

First, let me retract something: I was wrong about waste. The pattern doesn't support it — if spoilage were driving this, you'd expect input costs per unit to be flat and the gap to show up in volume purchased versus sold. Instead both input categories moved almost identically, ~40% and ~37.5%, which is a market-wide commodity move, not an operational leak inside their stores. I'm dropping that branch.

So of my three mechanisms, it's input cost per unit, amplified by the fact that menu prices haven't moved at all in two years. They've absorbed a 40% input increase entirely in their margin.

Rough check: if COGS was 42% of revenue and inputs rose ~40% with price flat, $42\% \times 1.4 = 59\%$. That lands almost exactly on the observed 58%. So input inflation alone explains essentially the entire COGS move — I don't need a mix story.

Next I'd want to check whether a price increase is actually available to them. Do we have any data on customer price sensitivity, or what competitors have done with their prices?

Interviewer · 0:36

Mm-hm. Your cross-check holds only if volume per store stayed flat. You said revenue grew 15% with prices unchanged. Here's an exhibit: Brew & Bean Cost Structure Over Time. I don't have customer price sensitivity and competitor pricing. Here's the cost structure over time. What does it tell you, and does it change your view of where the margin went?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 0:45

You're right to push on that. Prices are flat, so the 15% revenue growth is essentially 15% more units — either more transactions or more stores. But volume scales COGS and revenue together, so as a percent of revenue it's roughly neutral. That's actually why my cross-check still holds: the 42% → 58% move is per-unit input inflation, not volume.

The exhibit confirms it's steady, not a one-time shock — 42, 50, 58, about eight points a year, straight-line. Labor is flat at 22 the whole way, overhead drifts 12 to 14. So this is a continuous commodity squeeze that management simply never passed through.

One thing I'd want before leaning on price as the answer: a split of that COGS line between beans and everything else, and whether they're buying spot or on contract. Do we have that?

If not, I'll assume roughly the industry split and move on.

Interviewer · 0:48

A steady, year-on-year squeeze, then. Coffee beans were 25% of COGS two years ago. I don't have whether they buy spot or on contract. Beyond a price increase, what else could Brew & Bean do to reverse this margin decline? Give me as many options as you can.

Candidate · 0:57

Let me size the beans first. Beans were 25% of a 42% COGS line, so about 10.5 points of revenue. Up 40% adds ~4.2 points. The other 31.5 points rose 37.5%, adding ~11.8 points. Total ~16 points — matches. But the split matters: beans are only about a quarter of the damage. Dairy, packaging and food are three-quarters.

And I should correct myself again — I was leaning on a price increase as the answer, and I don't think that holds up as the lead. To recover 16 points with COGS at 58%, they'd need roughly a 20%+ menu price increase, and we have no sensitivity data to say volume survives that. Pricing is part of the fix, not the fix.

Other levers: renegotiate or consolidate suppliers on dairy and packaging, since that's the bigger bucket; forward-contract or hedge beans instead of riding spot; reformulate portion sizes and cup specs; shift mix toward higher-margin items; smaller, more frequent price moves rather than one jump; and attack the 2-point overhead drift.

Interviewer · 0:58

Got it. That's a solid list on cost and price. Looking beyond COGS and pricing, what else could the client do on the revenue side, or in how the stores themselves operate, to rebuild margin?

Candidate · 1:06

On the revenue side, since volume is growing but each unit earns less, I'd look at raising revenue per transaction rather than per cup — attach rate on food and pastries, upsizing, add-ons like syrups and alt-milk, where a small upcharge carries disproportionate margin. Loyalty programs to lift visit frequency from existing customers, which costs nothing incremental in rent.

Daypart is another one — most coffee chains are jammed 7 to 10am and dead after 2pm. Afternoon offerings, cold drinks, or evening traffic spread fixed costs over more transactions without new stores.

Channel mix: retail bags of beans, subscriptions, office catering, wholesale. Those monetize the bean supply chain at a different margin structure.

On store operations: labor is flat at 22%, which is fine, but with 15% more volume they should be getting productivity — so throughput per shift, order-ahead and mobile to cut queue time, equipment that lifts drinks per hour. And I'd look at the 200-store footprint for underperformers where rent per transaction is dragging.

Interviewer · 1:08

Understood. Suppose the CEO walks in and asks what you'd do. Of everything we've covered, what is your recommendation, and how would you sequence it?

Candidate · 1:15

My recommendation: Brew & Bean's margin decline is almost entirely input cost inflation that was never passed through, and the fix has to be led by supplier economics, not by a single price increase.

The evidence: COGS went 42 to 50 to 58 while labor held flat and overhead moved two points. Beans rose 40%, dairy, packaging and food 37.5%, and menu prices haven't moved in two years. Beans are only about a quarter of the damage — roughly 4 points of the 16 — so the non-bean basket is where the money is.

Sequencing. First 90 days: renegotiate and consolidate dairy and packaging contracts, and lock bean supply forward rather than riding spot. Same window, take a modest staged price increase — mid single digits — plus attach-rate and upsize pushes, which lift ticket without testing price tolerance all at once. Then 6 to 12 months: daypart expansion, retail and wholesale channels, and a review of underperforming stores.

Main risk is volume response to price, so I'd test increases in a subset of markets before rolling out nationally.

Interviewer · 1:18

Understood. You named volume response to price as the main risk. Suppose supplier renegotiation recovers far less than you need and the price test shows volume dropping sharply. What do you do then, and what would you watch to catch it early?

Candidate · 1:25

If both of those fail, the margin can't be rebuilt at the current cost base, and I'd shift from recovering points to restructuring.

Concretely: reformulation and portion work, because that's the one COGS lever that doesn't need supplier goodwill or customer tolerance — cup sizing, dairy specs, pastry sourcing, trimming slow-selling food SKUs that carry the worst input cost. Then mix: push customers toward items where the input basket is cheaper rather than raising the whole menu. Then the footprint — with 200 stores, if the unit economics are broken at the margin, closing or not renewing the worst leases protects cash. And overhead, the 2 points, which is the easiest board-ready cut.

What I'd watch early: transaction counts weekly in the test markets, not revenue, since revenue can look fine for a quarter while visits erode. Also attach rate and average ticket separately, so I can tell price resistance from trade-down. And on the supplier side, signed contract terms by category at 30 and 60 days — if dairy hasn't moved by then, it isn't going to.

Interviewer · 1:26

That's our time. Thanks for working through this with me — your written report will follow.